

Sustained moderation in inflation: A good low

Data released over the past couple of days **shows** that **the inflation rate**, both at the wholesale and retail consumer levels, **has moderated** in April. **The wholesale inflation rate** — measured by the Wholesale Price Index — **grew** by just 0.9 per cent last month, which is a 14-month low. But wholesale price inflation hasn't really been the **problematic** bit for India in recent years. Over the past 24 months, it has either been negative (which means wholesale prices were falling) or fairly low. The more significant news is on the retail inflation **front**, which is the rate that **policymakers** target and consumers worry about. **Retail inflation** — measured by the Consumer Price Index — **came** in at 3.2 per cent in April, the lowest level in six years.

To be sure, retail inflation has been moderating **lately** — it was 3.3 per cent in March. Yet this is the **variable** that has tested the Reserve Bank of India's "comfort zone" (of 2 per cent to 6 per cent) in the past few years. Since the end of 2019, there have been several months and even quarters when retail inflation was above 6 per cent and even above 7 per cent — **thanks to** repeated supply shocks either due to unseasonal weather at home (like rain), the Covid pandemic or **disruptions** due to the Russia-Ukraine war. The last financial year's retail inflation was **pegged** at 4.6 per cent — much closer to the RBI's target of 4 per cent, and the lowest it has been since 2018-19. Some **estimates** suggest that India's inflation is **likely** to moderate further in the current financial year; **analysts** at ICICI Securities, **for instance**, **peg** FY26 inflation at 3.5 per cent — a sharp fall from the 6 per cent level that sustained right through FY21 to FY23. This **benign outlook** is primarily based on **assumptions** of a moderation in crude oil prices, which, in turn, **brings down** costs across sectors, and an "above normal" monsoon, which boosts farm output.

Given the **stress** on prices in the recent past, the sustained **moderation** in the inflation rate since the start of the 2025 calendar year **is** not just a welcome relief for consumers but also opens up policy **space**. On the **fiscal** side, the government has already **hiked excise duties** on petrol and diesel by Rs 2 per litre in April to **shore up** an additional Rs 300 billion in revenues as crude oil prices moderated. On the monetary policy front, these **readings** suggest that consumers can expect the RBI to cut another 50 **basis points** over the next two policy reviews **slated** for June and August. **[Practice Exercise]**

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Sustained** (adjective) – continuous, consistent, ongoing, steady, prolonged
निरंतर
2. **Moderation** (noun) – reduction, restraint, control, temperance, easing कमी
3. **Moderate** (verb) – reduce, lessen, ease, soften, control कम करना
4. **Problematic** (adjective) – troublesome, difficult, challenging, complex, worrisome
समस्याजनक
5. **Front** (noun) – area, sector, field, domain, division मोर्चा
6. **Policymaker** (noun) – legislator, regulator, authority, lawmaker, decision-maker
नीतिनिर्माता
7. **Lately** (adverb) – recently, of late, in recent times, newly, just now हाल ही में
8. **Variable** (noun) – an element, feature, or factor that is liable to vary or change
परिवर्तनीय कारक
9. **Thanks to** (phrase) – due to, because of, owing to, as a result of, by virtue of के कारण
10. **Disruption** (noun) – disturbance, interruption, breakdown, disorder, interference अवरोध
11. **Peg** (verb) – fix, estimate, set, determine, anchor निर्धारित करना
12. **Estimate** (noun) – projection, calculation, guess, assessment, appraisal अनुमान
13. **Likely** (adjective) – probable, expected, possible, anticipated, foreseeable संभावित
14. **For instance** (phrase) – for example, such as, like, say, to illustrate उदाहरण के लिए
15. **Benign** (adjective) – favorable, mild, gentle, harmless, kind अनुकूल / सौम्य
16. **Outlook** (noun) – forecast, perspective, view, expectation, projection दृष्टिकोण / पूर्वानुमान
17. **Assumption** (noun) – belief, presumption, supposition, expectation, hypothesis अनुमान / धारणा
18. **Bring down** (phrasal verb) – reduce, lower, cut, diminish, drop कम करना
19. **Given** (preposition) – considering, taking into account, in view of, bearing in mind, owing to को देखते हुए
20. **Stress** (noun) – pressure, strain, tension, emphasis, burden दबाव / तनाव
21. **Space** (noun) – scope, opportunity, capacity, room, leeway गुंजाइश / अवसर

22. **Fiscal** (adjective) – financial, economic, budgetary, monetary, revenue-related
वित्तीय

23. **Hike** (verb) – increase, raise, boost, escalate, elevate बढ़ाना

24. **Excise duty** (noun) – a tax levied on domestically produced goods. उत्पाद शुल्क

25. **Shore up** (phrasal verb) – strengthen, support, reinforce, stabilize, bolster – मज़बूत करना / सहारा देना

26. **Reading** (noun) – figure, data point, measurement, statistic, observation – आँकड़ा / मूल्य

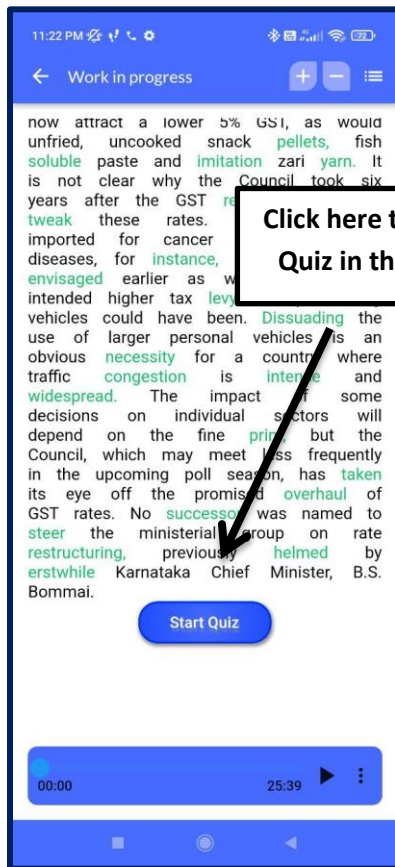
27. **Basis point** (noun) – 100 basis point = 1%

28. **Slated** (adjective) – scheduled, planned, expected, intended, arranged निर्धारित

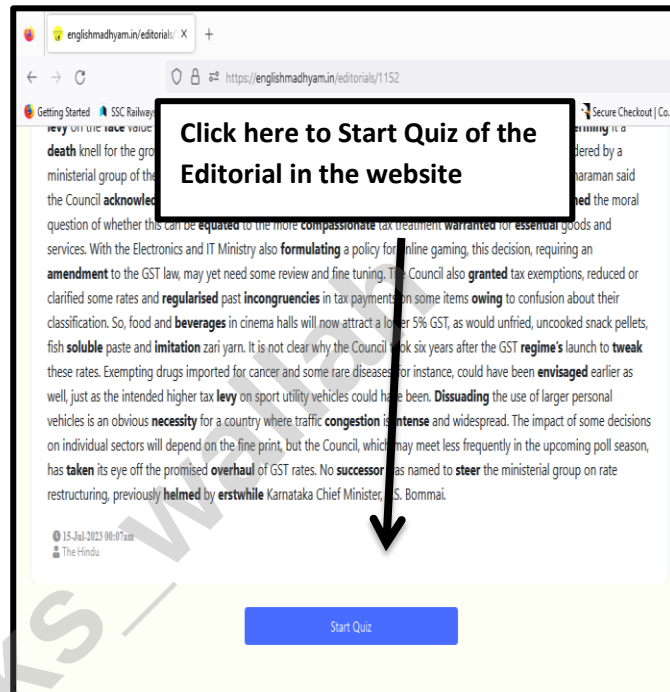
Summary of the Editorial

1. Retail and wholesale inflation have both moderated in April 2025.
2. Wholesale Price Index (WPI) inflation was just 0.9%, the lowest in 14 months.
3. Wholesale inflation has not been a major concern recently, remaining low or negative over the past two years.
4. Retail inflation, measured by the Consumer Price Index (CPI), dropped to 3.2% in April — a six-year low.
5. Retail inflation was 3.3% in March, indicating a downward trend.
6. This moderation brings inflation well within the RBI's target range of 2%–6%.
7. Retail inflation has exceeded the RBI's comfort zone several times since 2019, often going above 6% or even 7%.
8. Past spikes in inflation were driven by supply shocks like unseasonal rain, the Covid-19 pandemic, and the Russia-Ukraine war.
9. Retail inflation in FY24 was 4.6%, closer to RBI's 4% target and the lowest since 2018–19.
10. Forecasts suggest further moderation in FY26, with ICICI Securities projecting CPI inflation at 3.5%.
11. This optimistic outlook is based on expectations of stable crude oil prices and a better-than-normal monsoon.
12. Low inflation is a relief for consumers, easing pressure on household budgets.
13. The government used the opportunity to increase excise duty on petrol and diesel by ₹2 per litre in April.
14. This hike aims to raise ₹300 billion in additional revenue, supported by easing crude oil costs.
15. The RBI may cut interest rates by 50 basis points over the upcoming policy reviews in June and August, offering further economic support.

Practice Exercise: Banking Pattern Based



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